



Stop front-running
CPI data
traps.



The Illusion

Of Easy

Overnight Earnings Gaps

Retail traders attempt to front-run CPI prints and Oracle earnings for quick spikes. In reality, institutional algos exploit this retail volume to distribute overextended tech shares into binary liquidity events, trapping long positions ahead of the **September 15–16** Fed meeting.



The Hidden *Math Of* Implied Volatility Crush

Buying directional calls right before major macro events forces you to pay peak volatility premiums. Once Oracle earnings or CPI prints release, implied volatility collapses instantly. Options lose up to **60% of extrinsic value** in minutes, regardless of price direction.



How Institutions *Use Event* Liquidity To Exit

Macro events produce brief surges in order flow. Smart money utilizes these high-volume windows surrounding CPI and PPI data to fill large institutional sell orders and execute cross-currency hedges, leaving retail traders absorbing **overextended tech distribution** at structural market peaks.



The Compounding **Cost Of** Binary Gambling

Repeatedly buying unhedged options into high-volatility announcements generates massive drawdown drag. A **50% account loss** requires a 100% gain just to break even. Front-running binary prints systematically erodes capital, rendering long-term compounding mathematically impossible over consecutive macro cycles.



The Non-Negotiable *Post-Event Settlement* Rule

Never execute unhedged directional options before binary macro data releases or Fed policy windows. Institutional capital waits for post-event price settlement and implied volatility normalization. Capital preservation requires trading the **confirmed trend**, not gambling on unpredictable macro headlines.



Audit Your *Risk With* Pre-Trade Rules

First, verify options IV percentile before taking exposure. Second, confirm institutional order flow direction post-release rather than pre-positioning. Third, limit event exposure to strictly **defined-risk spreads**. Execute this 3-step risk audit prior to allocating capital into volatile event windows.



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